

18. 9:00 AM CASE NUMBER: C25-03757

CASE NAME: CATHAY BANK, VS. CHRISTINA SEELYE

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: SEELYE, CHRISTINA

TENTATIVE RULING:

This motion **continued** by the Court to October 21, 2026 at 9:00 a.m. Briefing is closed. No appearance is required at the hearing on September 9, 2026.

19. 9:00 AM CASE NUMBER: C26-00271

CASE NAME: EUNA EIM VS. JOSE LOPEZ

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: LOPEZ, JOSE

TENTATIVE RULING:

Before the Court is a demurrer to the complaint. For the reasons set forth, the Court rules as follows: general demurrer to the seventh cause of action is **sustained, with leave to amend**, and all other demurrers are **overruled**, as set forth below.

Background

Plaintiff Euna Eim alleges that she is a tenant conducting a Korean barbecue restaurant business in Units D and E (the "Premises") of the property located at 1450 Monument Boulevard (the "Property"). (Compl. ¶¶ 1, 7.) She alleges that defendant Jose Lopez is the "landlord" of the Premises, and defendant Los Hermanos Lopez, LLC is the owner of the Property. (Compl. ¶ 2; *but see* Compl. ¶ 7 [alleging Lopez and Los Hermanos are both the landlords].) She alleges there was a "first" lease dated in 2017 and then a second lease dated January 1, 2022 between Plaintiff and Los Hermanos, a copy of which is attached as Exhibit A to the complaint (the "Lease"). (Compl. ¶ 8 and Exh. A.)

Eim alleges that in 2012, she took over a portion of Unit C of the Property which was leased to a market with that portion being used as a restaurant pursuant to a "sublease contract." (Compl. ¶ 9.) She alleges the landlord "subdivided" the portion of Unit C she took over under the sublease ("subdivided Unit C") without the actual square footage of subdivided Unit C being stated. (Compl. ¶ 9.) She alleges that the landlord issued to Eim and the market monthly invoices for rent and related charges for the subdivided Unit C between 2013 and 2025, copies of some of which she attaches to the complaint collectively as part of Exhibit B. (Compl. ¶ 10 and Exh. B [invoices naming Korean Market and Korean BBQ, *see, e.g.*, pp. 2, 3].)

Plaintiff alleges in 2016, the landlord offered a new lease directly with Plaintiff. (Compl. ¶ 13.) She alleges that the October 2016 invoice (invoice dated 10/10/2016 included in Exh. B) billed a "flat" CAO (common area operating expense) fee of \$1,097.00 plus a separate line item for the PGE expense, as reflected on the face of the invoice cited. (Compl. ¶¶ 13, 14 and Exh. B, p. 5.) She alleges the landlord started including both the flat CAO and line items for insurance, taxes, and PG&E on the invoices starting with the November 2016. (Compl. ¶ 14 and Exh. B, p. 7.) She alleges the landlord "defrauded" her by "double" charging the CAO and the individual line items since November 2017.

(Compl. ¶ 14.)

Plaintiff alleges that she noticed a line item in the November 2018 invoice which she questioned the landlord about, but the landlord demanded she pay without an explanation for the charge, or the tenant could move out if she did not want to pay. (Compl. ¶ 15.) She alleges she was "scared" and did not raise questions. (Compl. ¶ 15.)

Plaintiff could not pay her rent for a few months in 2025. The landlord served a 3-day notice to pay rent or quit and commenced unlawful detainer proceedings. (Compl. ¶ 16.) She alleges she consulted with an attorney who found issues with the Lease and the CAO E billing. (Compl. ¶¶ 17, 18.) She hired an electrician who found that there was an electrical line that did not belong to her Premises connected to an electrical panel in her unit and that she has been paying excessive amounts for PGE bills for services to other portions of the Property as a result. (Compl. ¶¶ 19, 20 and Exh. C.) She also alleges a "water faucet outside the wall of her suite D is connected to her water meter for Unit D" and that she has been paying excessive water expenses. (Compl. ¶ 21.)

Plaintiff alleges eleven causes of action against defendants Lopez and Los Hermanos. The causes of action include breach of contract (1st C/A), breach of the implied covenant of good faith and fair dealing (2nd C/A), intentional misrepresentation (3rd C/A), negligent misrepresentation (4th C/A), unjust enrichment (5th C/A), civil theft under Penal Code section 496(c) (6th C/A), conversion (7th C/A), accounting and CAO E reconciliation (8th C/A), breach of the implied covenant of quiet enjoyment (9th C/A), declaratory relief (10th C/A), and injunctive relief (11th C/A). Plaintiff filed her complaint on March 13, 2026.

Defendants have demurred to all causes of action on the grounds they are time-barred, they fail to allege facts sufficient to state a cause of action, and they are uncertain and ambiguous. They also demur to the 3rd-7th, 10th, and 11th causes of action on the ground they are barred by the economic loss rule.

Legal Standards for Ruling on Demurrer

In ruling on a demurrer, the Court must accept as true all well-pled factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) In determining whether the complaint states a claim for relief, the Court gives the complaint "a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) A demurrer must dispose of an entire cause of action to be sustained. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

The Court also considers matters of which the Court can properly take judicial notice. (*Carloss, supra*, 242 Cal.App.4th at 123.) (*See also Evans, supra*, 38 Cal.4th at 6.) "As a general rule in testing a pleading against a demurrer the facts alleged in the pleading are deemed to be true, however improbable they may be. [Citation omitted.] The courts, however, will not close their eyes to situations where a complaint contains allegations of fact inconsistent with attached documents, or allegations contrary to facts which are judicially noticed. [Citations omitted.]" (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604 [emphasis added].) (*See also Sarale v. Pacific*

Gas & Electric Co. (2010) 189 Cal.App.4th 225, 245 [holding exhibit attached to the complaint contradicted the allegation that no easement existed, stating that the court accepts as true the facts appearing in exhibits attached to the complaint, and if the facts appearing in the exhibit "contradict those expressly pleaded, those in the exhibit are given precedence. [Citations.]" [Citation omitted.]]".)

A general demurrer may be sustained when the facts alleged show the action is barred by the statute of limitations. (*Vaca v. Wachovia Mortgage Corp.* (2011) 198 Cal.App.4th 737, 746.) To sustain a demurrer based on the statute of limitations, however, it must "clearly and affirmatively" appear on the face of the complaint that the cause of action is barred, not that it might be barred. (*Committee v. Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42; *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1232 [demurrer based on statute of limitations does not lie when the action may be, but is not necessarily, barred].)

Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 ["[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend." [Citations omitted.]]). Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.'" [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38 ["If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer."].) If there is a reasonable possibility of amendment to cure the deficiencies in a complaint, then leave to amend must be granted. (*Quelimane Co., supra*, 19 Cal.4th at 39.)

Analysis

Demurrers to 1st and 2nd C/As for Breach of Contract and Breach of the Implied Covenant

The first and second causes of action define the "First Lease" made in 2017 (or in October 2016, *compare* Compl. ¶ 8 to ¶ 29) and a second lease entered into the 2022, collectively as the "LEASE." (Compl. ¶¶ 8, 28, and 36.) Only the 2022 Lease is attached to the complaint as Exhibit A.

Plaintiff alleges she agreed to pay a "flat" CAOFE under the Lease of \$1,097, subject to annual reconciliations pursuant to Section 4.2 of the Lease, but that she was charged both the "flat" CAOFE and the "actual pro rata share of CAOFE such as insurance, property tax and utility for the common areas." (Compl. ¶ 29.) She alleges that the Landlord breached the Lease "by charging CAOFE twice each month for the last 86 months." (Compl. ¶ 29.) She also alleges the Landlord breached Section 4.2 of the Lease because the CAOFE was supposed to include trash collection charges, and she alleges she "has been paying for the trash out of her pocket." (Compl. 30.) She also alleges the Landlord breached Section 38 of the Lease, which includes a covenant of quiet enjoyment of her Premises, because an

electric line connects to the utility panel in her Premises and a water meter for her unit covers such that she is being charged for electric and water service for the Property outside of her Premises. (Compl. ¶ 31.) Plaintiff alleges she performed all her obligations under the Lease through 2024. (Compl. ¶ 32.)

The second cause of action for breach of the implied covenant focuses on the Landlord's alleged failure to provide an annual reconciliation of the CAO and also that Plaintiff allegedly paid for electrical and water service that was servicing other portions of the Property, not just her Premises. (Compl. ¶¶ 37, 38.) She alleges that the Landlord's conduct in this regard breached the implied covenant of good faith and fair dealing.

A. Legal Background

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) "[I]n California every contract contains an implied covenant of good faith and fair dealing that 'neither party will do anything which will injure the right of the other to receive the benefits of the agreement.' [Citations, internal omitted.]" (*Wolf v. Walt Disney Pictures & Television* (2008) 162 Cal.App.4th 1107, 1120.) The implied covenant of good faith and fair dealing is "an implied-in-law term of the contract," and "its breach will always result in a breach of the contract." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1393-1394.)

A claim for breach of a written contract or an obligation "founded upon an instrument in writing" must be brought within four years from the date of the alleged breach. (Code Civ. Proc. § 337(a); *William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1307.) Generally, a cause of action accrues, and the statute of limitations commences to run, when it is " 'complete with all its elements.'" (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806.) An exception to this rule is the "discovery rule," which the Court applied to a breach of contract claim in the *William L. Lyon & Associates* case. "When a breach of contract is committed in secret, such as the intentional nondisclosure of a real estate broker regarding a previously visible construction defect, the contractual limitations period is properly held subject to the discovery rule." (*William L. Lyon & Associates, Inc., supra*, 204 Cal. App. 4th at 1309.)

In addition, "[i]t is settled in California that periodic monthly rental payments called for by a lease agreement create severable contractual obligations where the duty to make each rental payment arises independently and the statute begins to run on such severable obligations from the time performance of each is due. [Citations omitted.]" (*Tsemetzin v. Coast Federal Savings & Loan Assn.* (1997) 57 Cal. App. 4th 1334, 1344.) (*See also Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1199 [cited by defendants, explaining the "continuous accrual" doctrine and applying the doctrine to a copier lessee's claim of excessive charges by the lessor in the monthly bills due under a copier lease].) Under the continuous accrual doctrine, "each alleged breach must be treated as triggering a new statute of limitations. [Citations omitted.] Aryeh [the copier lessee] cannot recover alleged excess charges preceding the four-year limitations period, but is not foreclosed from seeking recovery for charges to the extent they fall within that period. Because the complaint alleges excess charges within the four years preceding suit, it is not completely barred by the statute of limitations."

(*Id.* at 1200-1201 [emphasis added].)

Defendants' grounds for demurrer are asserted generally as to the first and second causes of action. Defendants have not made any arguments specifically directed to the second cause of action or cited authority to support that the second cause of action suffers from any defects different from the deficiencies they contend apply to the first cause of action.

B. Demurrer Based on Statute of Limitations

On the demurrer, the Court does not need to determine whether the delayed discovery rule would allow Plaintiff to pursue claims for breach of the Lease, either based on its express terms or the implied covenant, dating back ten years prior to the filing of the complaint. Under the *Aryeh* decision, the continuous accrual doctrine applies to the monthly charges imposed by the landlord. Defendants cite no authority that the continuous accrual doctrine does not apply in this circumstance given there was ongoing, periodic performance by the Landlord in the form of the CAOEE billing and the landlord allegedly allowing an electrical utility panel and water meter associated with the Premises to charge Plaintiff for utility services provided to other units or portions of the Property, which Plaintiff alleges resulted in breaches of the Lease. Plaintiff has alleged claims for excess charges within the four-year statute of limitations in these claims such that the statute of limitations would not completely bar this cause of action, and the demurrer to these causes of action cannot be sustained based on the statute of limitations as a result. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

C. General Demurrer that Facts Alleged Do Not State A Claim for Breach of the Lease

Defendants argue that the claims for breach of the Lease by the landlord demanding excessive or double the amount of the CAOEE payments allowed under the Lease are based on a flawed reading of the Lease not supported on the terms of the Lease attached to the complaint. Plaintiff argues that contract interpretation of the Lease is not proper on a demurrer if Plaintiff's interpretation of the Lease is "plausible," where the contract language is "ambiguous or susceptible to more than one reasonable interpretation." (Opp. p. 10, ll. 25-28, citing *Aragon-Haas v. Family Security Ins. Services, Inc.* (1991) 231 Cal. App. 3d 232, 239 ["'[W]here an ambiguous contract is the basis of an action, it is proper, if not essential, for a plaintiff to allege its own construction of the agreement. So long as the pleading does not place a clearly erroneous construction upon the provisions of the contract, in passing upon the sufficiency of the complaint, we must accept as correct plaintiff's allegations as to the meaning of the agreement.' [Citation omitted.]" (Emphasis added).])

Plaintiff does not explain how Section 1.7 stating "Lessee's Share of Common Area Operating Expenses: fifteen and nine tenths percent (15.9 %)" and Section 1.9(b) stating "Common Area Operating Expenses: \$1,097.16 for the period January 1-31, 2022" are ambiguous or reasonably susceptible to an interpretation that the tenant's share of the CAOEE expense was a "flat" \$1,097 for the entire term of the Lease. (Compl. Exh. A [Lease Sections 1.7 and 1.9(b).]) The Lease defines the CAOEE in section 4.2(a) as encompassing ten categories of expenses set forth in subsections (i) through (x) of that section, including maintenance expenses, taxes, and insurance.

"Common area maintenance" expenses are commonly referred to as "CAM," which is the term used in some of the invoices during the time period covered by the second lease. (See Compl. Exh. B pp. 13-16.) The term "CAOEE" meaning "Common Area Operating Expenses" based on the unambiguous

terms of Section 4.2(a) of the Lease includes not only common area maintenance expenses, but other common area operating expenses such as real property taxes, insurance and others. (Compl. Exh. A [Lease Section 4.2(a)].) The invoices attached to the complaint from November 2016 forward (Exh. B, p. 6 *et seq.*) on their face do not show that Plaintiff was "double-charged" for CAOEs; they show she was charged for "CAM" or "common area maintenance" expenses (*see* Compl. Exh. A [Lease Sections 4.2(a)(i)-4.2(a)(iv)]) and separately for real property taxes and insurance (Compl. Exh. A [Lease Sections 4.2(a)(v) and 4.2(a)(vi)]).

The Court also finds no ambiguity in the provisions of Section 4.2(d) regarding the Landlord's duty to provide a written reconciliation. Section 4.2(d) specifically states that "The amount of such payments [i.e., CAOEs payments] shall be based on Lessor's estimate of the annual Common Area Operating Expenses. Within 60 days after written request (but not more than once each year) Lessor shall deliver to Lessee a reasonably detailed statement showing Lessee's Share of the actual Common Area Operating Expenses for the preceding year." (Compl. Exh. A [Lease Section 4.2(d) (emphasis added)].)

The Court cannot determine from the face of the complaint or the attached invoices whether the amounts charged reflect reasonable, good faith "estimates" of the CAOEs, but Plaintiff's allegations that she was double-charged for "flat CAOEs" and additional actual CAOEs are not supported by the Lease and invoices. (Compl. Exhs. A and B.) In addition, Lease Section 4.2(d) puts the onus on the tenant to make a written request for a reconciliation of the actual annual CAOEs to address whether there are differences between the landlord's estimated CAOEs invoiced to the tenant and the actual CAOEs incurred. Plaintiff does not explain how, given the plain language of Section 4.2(d), Plaintiff's allegations interpreting the Lease as creating an affirmative duty by the landlord to provide annual reconciliations without a written request is a "plausible" interpretation of the Lease provision. (*See Total Call Internat. Inc. v. Peerless Ins. Co.* (2010) 181 Cal. App. 4th 161, 173 [distinguishing *Aragon-Haas* and affirming trial court order sustaining a demurrer without leave to amend, where the Court found the insurance contract at issue was not ambiguous and rejected that the plaintiff's argument that it was bound to accept the plaintiff's allegations regarding the interpretation of the contract in that circumstance].)

Though Plaintiff's allegations regarding the CAOEs are contrary to the unambiguous terms of the Lease and the face of the invoices attached to the complaint, the arguments do not dispose of the entirety of the breach of contract and breach of the implied covenant causes of action. Plaintiff has also alleged breaches based on an electric utility line servicing portions of the Property other than her Premises being connected to an electric panel in her Premises and a water meter that, liberally construing the allegations, she contends is being billed to her Premises but includes service to other parts of the Property, resulting in Plaintiff being charged for utility services unrelated to her Premises. (Compl. ¶¶ 18.D, 18.E., 19-21, and 31 and Exh. C.)

The demurring parties do not address these additional alleged breaches in their papers. "Contentions are waived when a party fails to support them with reasoned argument and citations to authority. [Citations omitted.]" (*Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal.App.4th 1210, 1215.) The Court cannot sustain a demurrer to a cause of action if the demurrer fails to dispose of the cause of action in its entirety. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

D. Demurrer for Uncertainty

The Court is also not persuaded that the facts alleged to support this cause of action are so uncertain or ambiguous as to warrant sustaining a demurrer for uncertainty. A complaint does not need to attach a written contract on which it is based. It is sufficient for purposes of a demurrer if the party pleads the legal effect of the contract, which Plaintiff has done as to the sublease and the 2017 lease. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 199; *Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 402 [on breach of contract claim, "plaintiff's failure to either to attach or to set out verbatim the terms of the contract [is] not fatal"].) Plaintiff has attached the 2022 Lease. Though the Court agrees that there may be some uncertainty or ambiguity in the allegations of the complaint regarding the "Lease" as defined by Plaintiff, the Court finds the complaint fairly apprises the defendants of the factual basis of Plaintiff's claim against them. (*Randall, supra*, 23 Cal.App.5th at 810.)

For these reasons, the demurrers to the first and second causes of action are **overruled**.

Demurrers to 3rd and 4th C/As for Intentional and Negligent Misrepresentation

Plaintiff contends that beginning in late 2016, the landlord issued invoices with an alleged "flat" CAO E amount and "intentionally billed PG&E as a separate item to see if Tenant could recognize such fraudulent miscategorization of CAO E items on the billing statement. Since Tenant did not recognize Landlords' intentional miscategorization of PG&E on the October 2016 invoice, Landlord got emboldened and started adding the rest of CAO E items such as insurance, tax, and PG&E on the invoice in addition to the FLAT CAO E, starting with his November 2016 invoice (page 7 of Exhibit B)." (Compl. ¶ 14.) She alleges later the practices continued since November 2017. (Compl. ¶ 14.) Plaintiff alleges that she noticed an extra line item charge in the January 2018 invoice that she questioned and apparently believed was improper. (Compl. ¶ 15.) She made an inquiry to the Landlord about the item, but he allegedly would not explain the charge and told her that if she did not want to pay it, she could move out. (Compl. ¶ 15.)

Plaintiff alleges that she was given "fraudulent billing" by the Landlord as she was invoiced for both a flat CAO E and the "actual costs" for CAO E. (Compl. ¶ 44.) She alleges the landlord failed to reconcile the CAO E and in that way "knowingly and intentionally" concealed that she was billed twice for the CAO E or was double charged. (Compl. ¶ 46.) Instead, she alleges that when she asked questions about the monthly rental invoice, the landlord "threatened" her to "move out if Tenant didn't want to pay." (Compl. ¶ 46.)

She also alleges fraud based on the electrical and water equipment. (Compl. ¶ 45.) She alleges that the Landlord "withheld information" from her about his use of the tenant's utilities and caused her to believe she was only paying for her own utility use. (Compl. ¶ 46.) She alleges she "reasonably relied" on the landlord for information about the Premises, the CAO E, and the electric equipment. (Compl. ¶ 48.) The negligent misrepresentation cause of action alleges the same essential factual basis. (Compl. ¶¶ 51-56.)

Plaintiff attempts to plead delayed discovery to support the timeliness of the intentional and negligent misrepresentation and her other claims. (Compl. ¶¶ 22-27.) As Plaintiff herself alleges in the complaint, the tolling of the statute of limitations under a delayed discovery theory extends only " 'until such time as a reasonable investigation would have revealed its factual basis.' " (Compl. ¶ 25

[quoting *Fox, supra*, 35 Cal.4th at 803.) Plaintiff alleges the following facts as her explanation for not having discovered the landlord's alleged fraud earlier: (1) she "trusted" the landlord to know about the Lease terms and CAO E calculation; (2) she did not "dream" the landlord would "disguise" the flat CAO E as owed when she had to pay the "actual costs of CAO E items"; and (3) she was afraid to talk to the landlord as she might have to move out immediately. (Compl. ¶ 26.) Notably, she alleges that when she consulted with a lawyer after she was given the three-day notice to pay rent or quit and eviction proceedings commenced, the lawyer pointed out what the invoices showed regarding the alleged billing for a flat CAO E and actual CAO E costs. (Compl. ¶¶ 17, 18.C.)

A. Legal Background

" 'The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 638.) Each element must be alleged factually and specifically. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal. App. 4th 221, 234; *Hall v. Department of Adoptions* (1975) 47 Cal.App.3d 898, 904.) The specificity requirement means that Plaintiff must allege facts "which 'show how, when, where, to whom, and by what means the representations were tendered.' " [Citation and internal quotations omitted.]" (*Lazar, supra*, 12 Cal.4th at 645 [quoting *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73].) (*See also Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) But less specificity is required in circumstances of fraudulent concealment or where the facts are in the possession of the defendant. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on other grounds ["Less specificity is required when 'it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,' [citation omitted]"]; *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal. App. 4th 1356, 1384 [addressing fraudulent nondisclosure claim, stating "As plaintiffs accurately respond, it is harder to apply this [specificity] rule to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' "].)

Intentional misrepresentation is a form of fraud with the elements and subject to the pleading specificity requirements set forth above under *Rutherford Holdings, LLC v. Plaza Del Rey, supra*, 223 Cal. App. 4th 221, 234 and *Lazar v. Superior Court, supra*, 12 Cal.4th 631, 638. The elements of a claim for negligent misrepresentation are similar to intentional misrepresentation. A claim for negligent misrepresentation "does not require intent to defraud but only the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true.[Citation omitted.]" (*Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173-174].)

The statute of limitations for a claim for fraud is generally three years, but the claim is expressly subject to the discovery rule under Code of Civil Procedure section 338. (Code Civ. Proc. § 338(d) [claim for relief based on fraud or mistake to be brought within three years, but the cause of action "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake."].) The California Supreme Court explained the operation of the delayed discovery rule in *Fox, supra*, stating that "under the delayed discovery rule, a cause of action accrues

and the statute of limitations begins to run when the plaintiff has reason to suspect an injury and some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at that time would not have revealed a factual basis for that particular cause of action." (*Fox, supra*, 35 Cal.4th at 803 [emphasis added].)

"In order to rely on the discovery rule for delayed accrual of a cause of action, '[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.' [Citation omitted.]" In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to 'show diligence'; 'conclusory allegations will not withstand demurrer.' [Citation omitted.] [¶] [T]o employ the discovery rule to delay accrual of a cause of action, a potential plaintiff who suspects that an injury has been wrongfully caused must conduct a reasonable investigation of all potential causes of that injury. If such an investigation would have disclosed a factual basis for a cause of action, the statute of limitations begins to run on that cause of action when the investigation would have brought such information to light. In order to adequately allege facts supporting a theory of delayed discovery, the plaintiff must plead that, despite diligent investigation of the circumstances of the injury, he or she could not have reasonably discovered facts supporting the cause of action within the applicable statute of limitations period." (*Id.* at 808-809 [emphasis added].)

B. Demurrers Based on Statute of Limitations

Plaintiff claims that the invoices she received over a period of years since late 2016 included improper "double billing" for both what she alleges is a flat CAO and actual CAO expenses. She admits that even though in January 2018 she noticed the issue with the invoice, she took no steps to investigate or dispute the charges she is now contesting as "fraudulent." She argues the Landlord concealed the alleged double-billing, but she admits the alleged double billing appears on the face of the invoices she received. She contends the Landlord failed to provide her with CAO reconciliations, but she does not allege that she demanded any such reconciliations, as she was entitled to request under section 4.2 of the Lease, or that she pursued any other inquiries regarding the CAO expenses listed on the face of the invoices despite her noticing the line items she contains were improper in the January 2018 invoice.

When a party is put on notice of facts that raise a reasonable suspicion of wrongdoing, the party cannot ignore those facts, not investigate, and then claim the benefit of the delayed discovery rule. (*WA Southwest 2, LLC v. First American Title Ins. Co.* (2015) 240 Cal.App.4th 148, 157 ["Reasonable diligence in such circumstances does not consist of ignoring a private placement memorandum received prior to making an investment. [Citations omitted.] This is not a case in which the plaintiff 'possessed no factual basis for suspicion.' [Citation omitted.]" The information and disclosures in the private placement memorandum put plaintiffs on notice of the falsity of any communications they may have received about the sales load, tax advantages, or risk-free nature of the investments. The delayed discovery rule does not apply.".) Plaintiff has not alleged facts showing that she conducted a reasonably diligent inquiry into the charges stated on the face of the invoices or that a reasonably diligent inquiry would not have disclosed what she alleges was fraudulent or double billing. Her allegations admit she made a conscious decision not to investigate further because she did not want to risk having to move, and she waited to investigate until she was facing eviction. Plaintiff has not

alleged facts to support application of the delayed discovery rule.

However, as defendants acknowledge in the reply, under the continuous accrual doctrine, Plaintiff can still pursue claims for the alleged fraudulent billing for invoices that are within the three-year limitation period, such that the statute of limitations would not completely bar this cause of action, and the demurrer cannot be sustained on that ground. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

C. Demurrers Based on Failure to Plead Misrepresentation Claims with Specificity

Defendants argue that the misrepresentation claims are based on conclusory allegations rather than specific facts. They cite Plaintiff's allegations that (1) the landlord "intentionally refused to reconcile" the CAOЕ charges under the Lease (Compl. ¶ 45), but the Lease only requires the landlord to provide an annual reconciliation upon the tenant's written request (Compl. Exh. A [Lease Section 4.2(d)]; (2) the landlord "knowingly and intentionally" allegedly double billed Plaintiff for the CAOЕ charges (Compl. ¶ 46); (3) defendants "intended" Plaintiff to rely on the landlord's alleged fraud; and (4) Plaintiff reasonably relied on the landlord "for information about the Premises, FLAT CAOЕ, and the utility fees or the Premises." (Compl. ¶ 48.)

While the Court has rejected Plaintiff's contentions as to the landlord's affirmative duty to reconcile CAOЕ without a written request from the tenant and Plaintiff's position that she was "double billed" for both CAOЕ (rather than CAM) and for other components of CAOЕ based on the unambiguous provisions of the Lease and the invoices, Plaintiff also alleges the misrepresentation claims based on a theory of fraudulent concealment though that theory is not identified in the complaint. She alleges fraudulent concealment of the fact that the electrical and water equipment on her Premises were connected to and servicing parts of the Property other than her Premises and that her meters were being billed for utility usage supplied to other parts of the Property, facts which were concealed by the landlord though the landlord knew or should have known about this condition of the Property. (Compl. ¶ 45.) She alleges that the landlord "withheld information" from her about the landlord's use of the tenant's utilities and caused her to believe she was only paying for her own utility use. (Compl. ¶ 46.) (*See also* Compl. ¶¶ 51-56 largely reiterating the same factual allegations as the basis for the negligent misrepresentation cause of action.) She has alleged she only discovered the issue with the electric line servicing other parts of the Property being connected to the meter in her Premises through an electrician, as stated in Exhibit C to the complaint, which suggests the information was discovered in early 2026.

Defendants have not presented argument or legal authority to support that the concealment of the utility service/metering issue is not a legally viable basis to state intentional or negligent misrepresentation claims. The allegations regarding this basis for the misrepresentation claims state with sufficient specificity a fraudulent concealment theory regarding the utility service that the landlord knew or should have known about and concealed from her to her injury. (Compl. ¶¶ 45, 46, 52, 53.) Since at least these aspects of the causes of action appear to state a viable claim for fraudulent concealment and are pled with specificity, the Court cannot sustain the demurrer to the causes of action. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.)

D. Demurrers Based on Economic Loss Rule and Uncertainty

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 in the context of the intentional tort of fraudulent concealment. The Court pointed to a statement of the rule in another California Supreme Court case, *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979: "[A]s *Robinson* phrased the rule: '[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.' [Citation omitted.]" (*Id.* at 20.) The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

Plaintiff has alleged facts regarding the landlord's knowledge of the physical electric and water utility connections and meters for Plaintiff's Premises that resulted in Plaintiff paying for electric and water service for portions of the Property outside her Premises. Plaintiff has alleged facts supporting that the landlord violated an independent legal duty not to conceal material information about the physical Premises and the setup of the utility meters that allowed utility service to those other parts of the Property to be charged to Plaintiff's Premises though unrelated to her Lease or utility usage. For this reason, the economic loss rule does not bar the misrepresentation claims. The Court also finds that these causes of action are not so ambiguous or uncertain as to warrant sustaining demurrers to them for uncertainty. (*Lickiss, supra*, 208 Cal.App.4th at 1135; *A.J. Fistes Corp., supra*, 38 Cal.App.5th at 695.)

For these reasons, the demurrers to the third and fourth causes of action are **overruled**.

Demurrers to 5th C/A for Unjust Enrichment

Plaintiff's unjust enrichment claim is based on her allegations that she was overcharged or overpaid for CAO, including the utility expenses not attributable to her Premises but incurred for service to other parts of the Property. (Compl. ¶¶ 59, 60.) For the reasons set forth above, even if Plaintiff's claims regarding the duty to provide a reconciliation of CAO charges, the calculation of the CAO charges, and the characterization of the line items listed in the invoices attached to the complaint is based on a misreading of those documents, the Court has concluded that the complaint alleges facts that support causes of action related to charging Plaintiff for utility usage of other parts of the Property based on concealed information regarding the electric line connected to her electric utility panel and the water meter on her Premises.

To the extent the excess service charges were incurred on a periodic basis within the statute of limitations for this cause of action, the claim is not completely barred by the statute of limitations under the continuous accrual doctrine. Defendants do not make any other specific arguments or challenges to this cause of action other than those addresses above. Defendants have also not cited any authority that the economic loss rule is a bar to an unjust enrichment claim, a form of equitable relief based on a quasi-contract theory. (See *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1132 ["The elements for a claim of unjust enrichment are 'receipt of a benefit and unjust retention of the benefit at the expense of another.' [Citation omitted.] 'The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.' [Citations omitted.]".])

The demurrers to the fifth cause of action are **overruled**.

Demurrers to 6th C/A for Civil Theft

Plaintiff alleges a claim for civil relief under Penal Code section 496(c) based on a violation of Penal Code section 496(a). (Compl. ¶¶ 63, 64.) The factual basis for the claim is essentially the same as her claims for breach of contract and intentional and negligent misrepresentation, including an allegation that the landlord has been "stealing electricity" from her by having an electrical service line connected to her electrical panel in her Premises that serviced portions of the Property other than her Premises and not having a separate water meter for water used outside her Premises. (Compl. ¶¶ 65-67.)

A. Legal Background

Penal Code section 496(a) states: "Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170." Penal Code section 496(c) allows civil relief for violation of the statute: "Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees."

To state a claim for civil relief under Penal Code section 496(c), the plaintiff must allege "(i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was so stolen or obtained, and (iii) the defendant received or had possession of the stolen property. [Citation.]" (*Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 354-355.) The Court in *Siry Investment* held that the provisions of Penal Code section 496 and its treble damages and attorneys' fees provisions, read "in their full and natural manner," make those forms of relief available where "property 'has been obtained in any manner constituting theft.' [Citation omitted.]" (*Id.* at 367.) The "theft" in that case involved "not trafficking of stolen goods, but instead, fraudulent diversion of a partnership's cash distributions." (*Id.* at 339.)

The civil theft claim is subject to a three-year statute of limitations. (Code Civ. Proc. § 338(a) [three years for an "action upon a liability created by statute"] or § 338(c)(1) [if theft treated as a form of

conversion].)

B. Demurrers Based on Statute of Limitations, Failure to Allege Sufficient Facts, Economic Loss Rule and Uncertainty

Defendants rely on the same arguments that the Court has rejected with respect to the misrepresentation claims. They make no specific arguments regarding this cause of action or its elements. For the same reasons, the Court rejects the demurrers on those grounds as to the sixth cause of action for civil theft under Penal Code section 496 claim. The allegations that the Landlord was "stealing" electric and water service for other parts of the Property by connecting an electrical service line to Plaintiff's Premises and not having a water meter on Plaintiff's Premises that resulted in Plaintiff being billed for and paying for utility services to parts of the Property outside her Premises state claims that are at least in part not barred by the statute of limitations based on the continuous accrual doctrine and not barred by the economic loss rule as they are based on a breach of duties independent of the Lease's contractual obligation. The general demurrers to this cause of action are **overruled** on this ground. The sixth cause of action is stated with sufficient facts to apprise defendants of the factual basis of Plaintiff's claim, and therefore the special demurrer for uncertainty is also **overruled**.

Demurrers to 7th C/A for Conversion

Plaintiff's cause of action for conversion is founded on two primary factual grounds. First, Plaintiff alleges the Landlord had a duty to provide reconciliations of the CAO for the preceding year under section 4.2(d) of the Lease, and if there was an overpayment by tenant, to provide a credit to Plaintiff. She alleges she has been overpaying CAO by \$1,097.16 per month for 86 months for which the Landlord has not issued credits despite her demand. (Compl. ¶¶ 72, 73.) She also alleges that she has been paying for electricity used by the Landlord or other portions of the Property, "estimated to be over \$100,000." (Compl. ¶ 74.)

A. Legal Background

To state a cause of action for conversion, Plaintiff must plead three elements: "(1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240 [quoting *Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208].) A claim for conversion of money can be stated "if a specific sum capable of identification is involved." (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452 [emphasis added].) (See also *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1151; *Weiss v. Marcus* (1975) 51 Cal. App. 3d 590, 599.) Conversion is subject to a three-year statute of limitations. (Code Civ. Proc. § 338(c)(1).)

B. Demurrers Based on Statute of Limitations, General Demurrer for Failure to State A Cause of Action, and Demurrer Based on Economic Loss Rule

The statute of limitations does not fully bar the cause of action as the facts allege periodic conduct some of which occurred within three years of the filing of the lawsuit. For the reasons stated in relation to the misrepresentation causes of action, having an undisclosed or concealed electrical line connected to Plaintiff's electrical panel and a water meter on Plaintiff's Premises that resulted in Plaintiff being billed for electrical and water usage outside her Premises alleges a violation of an

independent legal duty outside the terms of the Lease contract. Therefore, the claim is not barred by the economic loss rule.

The Court finds that the general demurrer to this cause of action should be **sustained**, however, for failure to allege facts sufficient to state this cause of action. The allegations do not support that there was a conversion of money in a "specific sum capable of identification" based on any CAOЕ overcharge as the allegations regarding "double billing" for CAOЕ charges is not supported by the Lease and the invoices as set forth above. Further, conversion based on the excess amounts of electricity and water Plaintiff was charged for does not allege a "specific sum capable of identification" under the case law. (*Farmers Ins. Exchange, supra*, 53 Cal.App.4th at 452; Compl. ¶ 74 [electricity payment "estimated to be over \$100,000"].)

The Court therefore **sustains** the general demurrer to the seventh cause of action for failure to allege facts sufficient to state a conversion cause of action. Though the Court has serious doubts that Plaintiff can allege facts to state a claim for conversion, the demurrer to this cause of action is **sustained, with leave to amend**. The Court need not reach the demurrer for uncertainty in light of this ruling.

Demurrers to 8th C/A for Accounting and CAOЕ Reconciliation

The eighth cause of action seeks an accounting for the CAOЕ charges under the Lease and CAOЕ reconciliations. She alleges generally that she demanded an accounting of the CAOЕ charges, but the landlord has "failed and refused" to provide the accounting. (Compl. ¶¶ 78-80.)

A. Legal Background

"Under our system of pleading, a cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff." (*Brea v. McGlashan* (1934) 3 Cal.App.2d 454, 460.) (*See also Sass v. Cohen* (2020) 10 Cal.5th 861, 869.) Plaintiff's demand for an accounting and reconciliation of CAOЕ charges is founded on the Lease and thus on a written contract making the applicable statute of limitations four years. (Code Civ. Proc. § 337(a).)

B. Demurrers Based on Statute of Limitations, General Demurrer for Failure to State A Cause of Action, and Special Demurrer for Uncertainty

Defendants do not make any specific arguments directed to the accounting cause of action other than their argument that the cause of action is founded on a misreading of the Lease as to what triggers the landlord's obligation to render a reconciliation of the CAOЕ. The Court agrees that Plaintiff's interpretation of Section 4.2(d) is not one to which the Lease is reasonably susceptible; the Lease allows the landlord to bill CAOЕ based on estimated expenses and places the burden on the tenant to make a written demand for a reconciliation of the actual CAOЕ expenses, which the tenant can demand no more than one time per year. (Compl. Exh. A [Lease Section 4.2(d).])

Nevertheless, Plaintiff alleges that she has made a demand for an accounting, and defendants have cited no authority that Plaintiff as a tenant is not entitled to an accounting of the amounts she was charged for CAOЕ, at least for a time period within the statute of limitations based on the continuous accrual doctrine. Defendants do not argue, and do not cite any authority that would support, that a

failure to demand an accounting or reconciliation of CAOEs under the Lease in periods preceding the four years before the complaint was filed means that Plaintiff is barred from seeking an accounting and reconciliation for periods within the four-year statute of limitations. The allegations and the Lease indicate that the amounts charged for the CAOEs may vary, as defendants themselves argue that the \$1,097.16 stated in the Lease in Section 1.7 was for the month of January 2022 only. Therefore, the amount of CAOEs charges are not expressly set forth in the Lease or are in a sum that can be made certain merely by a mathematical calculation under the Lease such that an accounting is not required. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.) From the face of the Lease and other allegations, the amount of actual CAOEs expenses are not available to the tenant except through an accounting or reconciliation from the landlord.

The demurrers to this eighth cause of action are **overruled**.

Demurrers to 9th C/A for Breach of the Covenant of Quiet Enjoyment, 10th C/A for Declaratory Relief, and 11th C/A for Injunctive Relief

Though Defendants make demurrers to these causes of action on various grounds, including the statute of limitations, the economic loss rule as to the declaration relief and injunctive relief causes of action, failure to state a cause of action, and uncertainty (Dem. pp. 5-6), defendants make no arguments specifically directed to these causes of action to support the Court sustaining their demurrers. "Contentions are waived when a party fails to support them with reasoned argument and citations to authority. [Citations omitted.]" (*Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal. App. 4th 1210, 1215.)

The complaint alleges facts indicating the parties had an ongoing, continuing landlord-tenant relationship until at least November 2025. In the ninth cause of action, Plaintiff alleges not only breach of the quiet enjoyment covenant in Section 38 of the Lease but also common law negligence and other grounds for this cause of action. (Compl. ¶¶ 84-88.) Even if claims based on conduct alleged in the ninth cause of action cannot be asserted for periods preceding the applicable statute of limitations, defendants cite no authority that an alleged continuing interference with Plaintiff's quiet enjoyment of the Premises, or negligent conduct related to the management of the Property existing during the period within the statute of limitations are barred. (*Institoris v. City of L.A.* (1989) 210 Cal. App. 3d 10, 13 [involving continuous nuisance claim].) They make no arguments as to why the factual allegations of that cause of action, which are not based on the allegations of the overpayment of CAOEs, do not state a cause of action on the theories alleged, or why the cause of action as pled is uncertain. Defendants cite no authority that the economic loss rule bars Plaintiff's theories of relief alleged in that cause of action to the extent they are based on independent common law or statutory duties as alleged by Plaintiff. (Compl. ¶¶ 84-88.) Defendants' demurrers are not supported, and their contentions that the ninth cause of action is deficient are waived. (*Moulton Niguel Water Dist., supra*, 111 Cal. App. 4th at 1215.)

Similarly, Defendants' demurrer to the claims for declaratory or injunctive relief is not addressed with specific argument or authority supporting the demurrers on any of the grounds stated. A declaratory relief claim states a cause of action even if, based on the allegations of the complaint, the facts support a judicial declaration adverse to the party seeking declaratory relief. (*Nede Management, Inc. v. Aspen American Ins. Co.* (2021) 68 Cal.App.5th 1121, 1130 [addressing an order sustaining a

demurrer to a standalone cause of action for declaratory relief as to whether plaintiffs' insurer had a conflict of interest that required appointment of *Cumis* counsel in an underlying tort lawsuit against the plaintiffs defended and settled by the insurer, determined adverse to plaintiffs]; *Bennett v. Hibernia Bank* (1956) 47 Cal.2d 540, 549–550 ["It is the general rule that in an action for declaratory relief the complaint is sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties . . . and requests that the rights and duties be adjudged. [Citation.] If these requirements are met, the court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration."].)

Defendants' demurrer is similarly unsupported as it pertains to the injunctive relief cause of action. Defendants make no arguments as to why injunctive relief is barred by the statute of limitations in its entirety, in light of the continuous accrual doctrine as discussed above regarding the contract and misrepresentation claims. They cite no authority that injunctive relief, an equitable remedy, is subject to the bar of the economic loss rule. Based on the Court's ruling that Plaintiff has alleged facts sufficient to support some substantive claims for relief as set forth above, defendants have not made reasoned arguments supported by authority that injunctive relief is a remedy barred as a matter of law so as to support the Court sustaining a demurrer to the s cause of action.

The demurrers to the ninth, tenth, and eleventh causes of action are **overruled**.

20. 9:00 AM CASE NUMBER: L24-03879
CASE NAME: JPMORGAN CHASE BANK, N.A. VS. BRITTNEE CRUZ
***HEARING ON MOTION IN RE: VACATE JUDGEMENT**
FILED BY:

TENTATIVE RULING:

This case is re-assigned to Dept. 14, Hon. Kirk Athanasiou, Presiding. This motion is continued, *sua sponte*, to January 12, 2027 at 9:00 a.m. in Department 14, which is located at the George D. Carroll Courthouse, 100 37th St., Richmond, CA 94805. Parties are ordered to appear in-person or remotely via Zoom. No appearance is required on September 9, 2026.

21. 9:00 AM CASE NUMBER: N26-0485
CASE NAME: PETITION OF:JOSE EFREN GRAJEDA
HEARING ON PETITION IN RE: FOR AN ORDER RELIEVING PETITIONER FROM GOVERNMENT ENTITY CLAIM FILING REQUIREMENTS
FILED BY:

TENTATIVE RULING:

The Court continues the hearing on this motion, *sua sponte*, to October 14, 2026 at 9:00 a.m. Briefing is closed. No appearance is required at the hearing on September 9, 2026.